The Inflation Ghost, Gold and Options

Podcast: Macro trading floor

AI Executive Summary

1. Core Thesis The global macro environment is currently characterized by accelerated nominal growth driven by massive fiscal deficits and robust private credit creation, primarily fueled by AI-related capital expenditure (CapEx). While the market has recently repriced for potential Fed interest rate hikes due to recent inflationary data, these micro-level interest rate shifts are secondary to the massive structural "money printing" occurring globally. The primary macro driver is a surge in liquidity that favors risk assets and gold, provided that energy supply chains remain stable and the "second-round effects" of inflation do not trigger a systemic sovereign crisis (the inability to defend currency, bonds, and the economy simultaneously).

2. Key Arguments & Data * **Fed Policy & Voter Composition:** While the market is pricing in a potential Fed hike by December, the speakers argue this is unlikely without six consecutive months of extremely strong data. They highlight that even with hawkish dissenters, the FOMC Chair (Powell) serves as a tie-breaker and is historically unlikely to vote for a hike in the current climate. * **US Fiscal Impulse:** The US primary fiscal deficit has reached 80 basis points of GDP, marking the fastest pace in three years. This increase is attributed to changes in tariff dynamics and substitution effects from China, resulting in more "real" inflation-adjusted money being delivered to the private sector. * **Money Creation & Nominal Growth:** Global money creation is currently in its 80th percentile of acceleration. There is a strong historical correlation between the pace of money creation and forward nominal growth; as more liquidity enters the system, economies grow faster in nominal terms. * **AI-Driven Inflationary Cycle:** The AI complex is currently in an "inflationary" phase because massive CapEx requirements are driving demand for labor and hardware. The long-term "disinflationary" phase—where implementation leads to efficiency—has not yet arrived. Unlike the 2000 dot-com bubble, current tech valuations are supported by actual earnings growth rather than mere multiple expansion. * **The Sovereign "Trifecta" Risk:** A major bearish risk is the potential for emerging markets (and eventually Europe/Japan) to fail in sustaining their economy, currency, and bond markets simultaneously. The speakers cite recent struggles in Indonesia and the Philippines as early warning signs of this phenomenon. * **Gold as a Liquidity Thermometer:** Gold remains fundamentally bullish due to the high-liquidity environment. While some central banks are selling gold to defend domestic currencies, the lack of a "natural seller" on the upside and the persistent trend of money printing suggest significant upside potential for both spot prices and options.

3. Actionable Takeaways * **Focus on Liquidity over Rates:** When evaluating long-term risk assets (equities, EM carry), prioritize trends in global money creation and US fiscal deficits over short-term Fed interest rate fluctuations. * **Identify High-Spread Options Trades:** Use the concept of "Expected Value" (EV) to trade options. Look for instances where your subjective assessment of the probability of an event (e.g., Gold hitting a new All-Time High) is significantly higher than the market's implied probability (the price of the "one-touch" or call spread). * **Monitor Energy as a Macro Catalyst:** Watch for disruptions in energy transit (e.g., the Strait of Hormuz). Sustained high oil prices act as a primary "bear case" because they can transition from a localized issue to a global earnings drag and a driver of uncontrollable second-round inflation. * **Align Trading Frequency with Edge:** If you possess a high-frequency, high-edge strategy, use large sample sizes to reduce variance. If you are a long-term macro investor, recognize that your path dependency (volatility in P&L) will be higher, and ensure your capital allocation accounts for longer periods of "sitting on hands."

Full Transcript

The macro trading floor with me, Alfonso Peccatillo, founder of the macro compass and former head of investments at the large European Bank. And I am Brent Donnelly, president of Spectrum Markets. I've been a portfolio manager, day trader and market maker at the biggest commercial and investment banks in the United States. I'm also the author of Alpha Trader and the art of currency trading. If you want to know what's going on in markets and where they're going, you found the right podcast. Hi, everybody. Welcome back to the macro trading floor.

Alf and Brent with you. I'm drinking my post-lunch espresso. Brent wakes up at ungodly hours for an Italian guy. He's got this American virus where everyone he wakes up at like five in the morning. What time do you wake up, Brent? Yeah, between four and five, depending on what's going on. Ungodly hours, I repeat. Ungodly indeed. Any Southern Italian jeans in me is protesting against this thing. But you know, that's why you have fun here. You have a... Tactical trader and some sort of long-term macro blubbering guy, which is me. We try to make sense of what's going on Now Brent is on fire I can tell you I read each of his notes and the guy Decides to sell small caps and the moment he takes profits the day after the thing relays back Brent is on fire So let me ask him is much more on fire than I am the last month or two So what is going on Brent? What should we do next? Oh goodness? Yeah, I mean My time horizon has been an okay time horizon to trade lately because there's been some microstructural setups that have been working out bigger picture. I feel like the market has spent a lot of energy on the war and feels very tired, like especially in FX, but anything you look at, you can kind of see like the reactions to the headlines aren't as strong.

people don't really know exactly what they're doing in a lot of cases with oil. What does oil mean? Is the correlation dropping because we've been here since March? Essentially Brent is flat for two months now. My feeling is that the market only has so much energy. It spent a lot of energy in Q1. Probably my base case would be VIX at 16, Long Carry. and things just don't do all that much. I was looking at double no touches and FX and things like that. So that's kind of my base case. We've also, we've gone a little bit far to me in terms of Fed pricing now. Like we've gone from, Warsh is going to be the most dovish Fed guy ever to like a hike in December. And that's a pretty long, obviously a lot has changed. Like there's reasons for it, but I mean, on May 12th, I remember that's when I was writing a thing about short-year dollar because of strong CPI and inflationary stuff and the feds starting to pivot and all that. So now we're 10 days later. And I noticed in my chats yesterday that there's a lot of talk about paying rates, feds going to hike, dollar higher. And that's very different from 10 days ago. So it makes me kind of think that we may be at some kind of little local extreme here.

Um, however, unfortunately we're doing this, we're recording this at 6 45 AM, uh, on Friday, which is the day Waller speaks. So I suppose Waller could be important. I don't know. I sometimes feel like I'm the only one talking about something and I do feel like I'm talking about Waller more than everyone else. So I don't know, am I over waiting Waller here or like, am I, is it, do they? you wrote something today like how would they get the votes for a hike say even if you think about like September or December and hot data is it possible that they hike or what do you think it's pretty hard I mean of course if you get six months of strong data it's less hard but I like to look at the FOMC voter composition because at the end of the day we are used to see the FOMC as a monolithic voting mechanism, right? I mean, there is never a dissenter, but sorry, but that's not going to be the case going forward. I feel pretty strongly about it. I think in the article I called it the BOE session of the Fed where people vote against each other, basically. So you look at the 3D centers that I voted against the dovish bias at the last meeting.

and you assume they're gonna vote for a hike, which is already quite an assumption. It's different to vote against the dovish bias than to vote for a hike. Those are two different things. But still, let's assume that they are pushed towards there. You have three of these guys, and then you might have Michael Barr, which is relatively hawkish in his pitches as well. So let's have a leap of faith, and let's say you have four hawkish members voting for a hike. Now, you still need another three to get to a majority. In a situation where six people vote for a hike and six people vote for hold as long as the Fed chair is voting for a hold is the one that breaks the tie now

My own assumption is that worse would rather eat his own hat Then vote for a hike I mean seriously like guys the guys talking about let's change the benchmark from core PC to trimmed bean PC You want to try and guess where trimming PC is printing way below core PC I mean guys like let's be serious. He was talking about shrinking the balance sheet as a Horse trading for cutting rates until a few weeks ago. I'm sorry. He's not gonna vote for a hike So then you have you can still get a hike the FOMC chair can can lose his battle there But you need three more voters on top of the dissenters plus Michael Barr to still vote for a hike and the group is Williams Cook Baumann Waller Powell Paulson and Jefferson I mean guys like you gotta be really creative to get three out of this group to vote for a hike can we get there yes of course we can but we need probably six months of very strong data and as you say December is 21 basis point priced in brand so I would say the market is moving pretty quickly towards base case being, data is going to be very, very strong and potentially inflationary. Because as a reminder, if the labor market tightens up, which is my expectation, but this isn't immediately inflationary, the Fed isn't going to hike. People are not going to vote for a hike. If the labor market is Goldilocks better, so unemployment rate is stable or small down, wedge growth is consistent with 2% inflation, why should the Fed vote for a hike? They're not going to vote for a hike. So I think the market is getting a little bit ahead of themselves with these 21 basis points. Yeah. I mean, the one good thing is we do get Waller and Williams speaking soon. So maybe we'll hear from them and, you know, they're kind of like the intellectual thought leaders a lot of the time or the center of gravity or whatever. So and they've been dovish. So let's see what they say. But like, like you said, and like I said, you know, a lot more is priced in now. And then maybe it just comes down to how the data cooperates. Because one thing that's interesting about this inflation thing is, well, there's a few things, but first of all, it's kind of embarrassing for them to say it's transitory now just because the word is so loaded from the mistakes that they made in 21-22 when they didn't respond to the fiscal. And that was a major policy error by a lot of central banks. But then at the same time, you do have inflation coming from other places as well, especially in PCE, where you have like computer equipment and things like that have a higher weighting and securities prices just when they go up. When the stock market goes up, that's inflationary and core PCE, whether you like it or not, or PCE. So like the AI capex thing is happening in the background. And then on top of that, you have more likely Second round effects given that there's a lot more inflationary psychology post COVID because people understand that there is a risk that prices will go up. And so people are much more willing to prepare for or front run that by moving their own prices up in order to protect them from higher input costs. So when PPI is printing five, six percent, people in running small businesses aren't going to sit around and wait. They're going to raise their prices. But we'll see. I mean, it does.

Kind of blow one's mind if you if you put yourself in you know in the seat one year ago and looked at What worse is gonna be a puppet for the or whoever the new fed chair is gonna be a puppet for Trump and Has it might be cutting four times and all that kind of stuff and then you look at where we are now It's pretty mind-blowing, but obviously there was a war in between so What do you think about like say I don't know two three months, so that would take us to towards the end of the summer Where do you think things are like what do you think the trades might be? What's gonna have a high sharp in the next like two three months? So we go into the into the very long time horizon part that I love have my time horizon like sometimes I There is due diligence on me on the fun and people are like so What are you training for next two weeks? Nothing. I have no idea about the next two weeks. You know can ask me for the next six months Sometimes they go and buy one year out options the dealers are like what is this guy doing for a job, like sitting on his hands for three months waiting for this option to do anything. Yes. Welcome. This is me. Now, brand, of course, I will make I will ignore hormones, because if I start talking about the moods, then all of a sudden everything I say is irrelevant. So I'm going to assume that there is some energy transit. Okay, we're going to assume that they don't bomb each other. I'm going to assume there is some sort of energy transit going on. Yeah, if I assume that The trucker I have for money printing around the world are very very strong. I mean US primary fiscal deficits are very strong We're running at about 80 basis point of GDP right now compared to last year last year at this point of the year We were at 43% of GDP. This is primary fiscal deficit in the US so excluding interest rate payments inflation adjusted so I'm literally checking how much Real inflation adjusted money the US government is giving the private sector on a year to date basis. Now, at the end of May, being at 80 basis point of GDP of primary deficit in the US is the fastest pace in the last three years. And why the change from last year is that last year we had tariffs. Tariffs were a tax. They were a one-off tax, right? These year tariffs are still there, but there have been substitution effects from China. I mean, China is exporting way less to the US, which means the US is making less money on Chinese imports, namely the tax that the US is applying to the private sector is lower.

and OBBB in the meantime, which has increased the fiscal impulse. So the two things are net money creation for the US. On top of it, Trump, yes, they said that the US might have to pay back 150 billion in tariffs. So that's another 150 billion of fiscal impulse plus minus any offsetting measure. But you might want to assume that there will be a little bit more coming to the private sector. And then there is the private sector credit creation, which is credit. bank credit or shadow bank credit or private credit or any form of credit creation. And that's running very strong because all the companies doing AI Cup X have fully burned into their operating cash flows. So they're going into that. That's new money that gets created and gets spent into AI Cup X. The 10 year percentile of the acceleration in money creation in the US is the 80th percentile. So the US is pumping.

And I always say that because at the end, this is data. It's like you can debate that. If you measure the data, that's what the data says. When you regress the pace of money creation against forward nominal growth in the US, you will find a pretty decent correlation, which does make sense. The more money you print, the more the economy grows fast. I mean, that's not rocket science. It's just about measuring money correctly. And nominal growth, therefore, is going to go up. The rest of the world, money printing, also looks pretty robust. Japan just announced another 20 billion dollar of fiscal deficit Korea is doing its read in Germany all the other guys are doing fiscal deficits So when I look at the global measure of money creation is also pretty strong and then I ask myself It's very nice for steer trader to talk about whether the Fed is gonna hike 25 basis points or not, but as my co-founder said Do we really care over a six-month time horizon if the Fed hikes by 25 bits?

in reaction to a very strong US centric and global nominal growth acceleration. Do we really care if the Fed hikes 25 basis points? Does the dollar care more about 25 basis point more or less in front and carry? Or does the dollar care more about global growth and macro tail risks that are cut by global nominal growth acceleration? I lean more towards it doesn't matter. It doesn't really matter. It matters for steer traders, obviously, but for macro, it doesn't really matter. I see you want to say something. That's an interesting point about the Fed is that if you do believe they'll hike, which I mean, it seems perfectly reasonable to think that they could be hiking in December, given acceleration and job market and everything that you just described. Does it actually mean anything? Like I think that's a mistake that the market makes over and over with the BoJ is like trying to buy yen on BoJ hikes. So like they're hiking once per year.

from negative 2% real rates to negative 1.8, or negative 1.8, you know, like so, it's not like the Fed, you know, the Fed hiked 17 increments of 25 basis points in 22, 23. What are they going to hike? One increment to two hikes maybe in the next year or whatever, like maybe three at the most. So that's an interesting point is that if you have Fed hiking because nominal growth is strong, and everything's accelerating and labor market is relatively tight and there's supply of labor is low and CapEx is still on fire. Yeah, is that such a bad thing for stocks? And I guess the answer the stock market is giving is the answer is no, right? Like the dollar has benefited a little bit from the repricing but stocks haven't got hit because probably because of all the reasons that you've described. And then anyone waiting for like Some sign of the CapEx is slowing is just not getting anything like that. So like the earnings of these companies have been absolutely insane. And then, and I mean, that's the biggest argument against this being a bubble is that in, in 99, 2000, it was all multiple expansion really, like earnings weren't even really going up that much. Whereas now actually multiples have contracted in a lot of parts of tech.

And like NVIDIA's price of sales and all that, it's grown into its valuations somewhat, not necessarily fully, but mostly multiples have not expanded. And that's because earnings are going absolutely insane. So yeah, it's a pretty tough backdrop for bears because what are you looking for? I guess if you're a bear, maybe that's an interesting thing to think about because I try to be open-minded. I think the base case is like, higher risky assets, lower vol, and everything kind of just keeps on grounding higher. That has to be my base case. But what's something that would actually be bearish? Oil up and away? Is there a point up through 150 or whatever that's bearish, I guess? Or maybe something that would be extremely unexpected now, but is always possible, often dreamed about?

by economists, but never actually happens in reality, would be a labor market slowdown because, you know, the into its cutting 17,000 jobs to focus on AI, all that kind of stuff. Although there's no evidence of net job losses. In fact, like a lot of areas are hiring people because of AI right now. So I think the dominant sort of macro theory is that AI is inflationary at first because you have to build all the stuff and hire the people. And then it's disinflationary once the implementation succeeds. And we're in the second inning of the inflationary part, I guess. But I don't know, what's the thing that you think could take? So S&Ps. Close that seven seventy four forty six. What's something that could take S&P's to sixty five hundred by September like what's scenario? So if you follow the rational I was saying before with nominal growth going up and the central bank behind the curves around the world You should be long-risk guys. I mean you can put any flavor you want with emerging market carry value You should be long-risk if I'm right if I'm right and The curve should be steeper and long-end rates should be you know not supported the curve should be steeper. I would say now All good. Then what am I wrong? Yeah, I think, Brian, there are two things where am I wrong? Maybe three. The first one is not only there is no Hormuz resolution, but there is no proper energy transit. So in certain places of the world, Southern East Asia, eventually Europe over time, this becomes a problem for earnings. You can't ignore it anymore. It just becomes a problem for earnings. And then governments are called to try to solve the impossible trifecta of sustaining your own economy, sustaining your currency and sustaining your bond market and sorry, but it doesn't work. So you can go and try and ask the Philippines or Indonesia right now because they're the first guys in that line of defense because they are the terms of trade impact for Mormuts for them is by far the worst than for anyone else and it's the most immediate impact. Bank of Indonesia for people who are not following hiked 50 basis points a few days ago, surprising the market, trying to defend their currency, right?

the day after the Indonesian rupee was weaker again so like these guys can't catch a break basically and the Philippines is saying they want to hike before the central bank meeting you know just off cycle hike now they're trying everything they can and yet the currency can't catch a bit bond market can't catch a bit so if you get to that point brand where you know the crisis goes for long enough then ultimately Europe will find itself in a similar situation Japan and Korea will find themselves in a similar situation Right. I guess that's the answer that I didn't include, which would be 5% inflation in the U S or something like that. Like if all this stuff just starts feeding on itself. And, you know, even if oil stays here, but inflation comes from other areas and they, we get a repeat of 2022 and they hike, you know, seven times. And I mean, I remember going, excuse me, going into 2022, the, we had a dinner.

And it was the old like, how many Fed hikes do you think are going to come in 2022? And like most people said two, one person said four. And I think one person said five and everyone laughed. And it was like, you know, they, they hiked 75, they hiked 50. I mean, I don't know how many times they hiked, but they hiked a lot more than five increments of 25 basis points. So I guess that's like the 10% rogue inflation case is something that's Yeah, it's possible. I mean, yeah, five, six percent. Who knows. Yeah. The answer is that. So it's a runaway second round effects of inflation. The demand destruction is, I mean, not as far away as 2022 where we did in 2020, 2021, the largest amount of concerted fiscal spending ever seen since the Second World War. We are not doing that much now, but we are printing money. So that means that the demand destruction is a bit farther away. I think then people imagine, which means inflation comes first, second, and third as a problem for the market. So that can be an issue. And the second one can be if the AI complex ends up being a piece of crap, but there is no evidence. I mean, open AI is making six billion a quarter already. I mean, that's quite impressive. And, you know, You're talking about a company where people always wondered about the profitability and the cash flows and these AI cupcakes isn't bringing anything. What is the return on equity? Guys, earnings are going to the moon in the first quarter of 2026. Like it's very hard to imagine at least for somebody like me to have an immediate full 180 degrees reversal of that story. People doubted it. Remember in

October, November last year, where if a company announced to hire cupcakes, the shares will be sold off straight away.

This was October, November, 2025, not so long ago. And now the market is like, yeah, okay, these guys can keep printing earnings at a very rapid pace. So maybe I shouldn't really doubt what these guys are doing. But I think the inflation story is an actual risk. The second round effects are there. The demand destruction is further away. And at some point, it just feeds on itself. And certain economists just can't, they can't defend their currency, their bond market and their economy at the same time. So they got out, you know, there's going to be some release valves. So therefore my initial What is the trade to have higher sharp or the next three to six months? It relies on energy to flow through the straight over moods to a certain extent at least it doesn't have to be full resolution. But it has to be some sort of agreement out there. If you don't believe this again. Yeah, then yeah, then your scenario is actually not impossible at all. Yeah. And I guess kind of what you're describing is like the potential for an Asian financial crisis or something like that as well if they start losing control. One thing that I don't know if this is worth talking about because I'm not an expert on this, but one thing I was thinking about was generally the cure for high prices is high prices, right? Like people either find new supply or they find more efficient ways to use the commodity that's going up. And I was wondering if that's a risk to the CapEx thing is that token costs and token shortages and all that are.

becoming more important than the shortage of oil for markets in a lot of ways. But I wonder if there's some kind of possibility that they figure out a more efficient way to use these tokens, some kind of breakthrough on the inference side or training side. And that could be like, I guess, something that burst the bubble. But anyways, it's too far outside of my wheelhouse, but it does seem like extremely inefficient to just keep on building more data centers and buying more memory versus finding more efficient ways to create tokens. But anyways, I guess we'll see. Yeah. I also have no idea about that. I get asked all the time about AI. The answer is, I don't know. So one thing that kind of comes together in both of our write ups and stuff these days is gold because I think for your framework of, you know, infinite money printing and fed still relatively loose, like hiking small enough increments that who cares.

It's that kind of scenario generally is good for liquidity thermometers like gold. And from my point of view, I saw it as essentially a retail bubble in silver and gold. And that bubble has been pricked now. And you posted a good chart yesterday showing the SKU and 25 Delta gold options. And the SKU has almost always bid for calls like for the last five years. And quite a bit bid for calls. And then if you look at the chart, it went even more bid for calls in the bubble. And then everything crashed basically when the war started. That was like the ultimate good news, bad price for signal for gold. And then now gold's what 1,000 lower. And you have the option market is actually bidding for puts, which is not very common and interesting to me.

I think it's a pretty good setup. So that's like more of a micro thing. And then the more macro thing is bullish. You have a pretty good entry point. And then you have two kind of, if you look at the daily chart, there's two huge wicks where they had like big blowoff bottoms where, where it held. So to me, I think the outlook for gold looks pretty good. Like if I was guessing what are the odds that gold, you know, outperforms that is its negative carry, obviously. But what are the odds that gold is higher at the end of the year? You know, accounting for negative carry, I would say like my view would be it's like 65%, 65, 70% chance, which to me is high. Like anything, I'll do a trade if it's 58, 42. So, you know, anything that's 65, 70 seems pretty good to me. And if you think nothing's really going to happen, you can always sell puts or sell put spreads as well.

given the skew. But I think that's an interesting area that has kind of people just kind of got bored of it. So no one's talking about it. But like, what do you think? Do you think gold can make a new all-time high in 2026? Yeah, absolutely possible. The interesting thing about gold is that central banks, there are a lot of central banks in trouble out there, Brent, I mean, central banks that are importers of oils. And with that, nevertheless, with the current account surplus, so these companies, counters have accumulated large amount of foreign effects mostly dollar and then they have central bank reserves right and amongst these reserves over the last three years especially they've accumulated a lot of gold and i'm talking about turkey talking about poland i'm talking about asian central banks in general so buying gold and making money off it is very nice but people forget there is another use for gold which is that when you need to prop up your domestic economy and doing subsidies against higher fuel prices at the tank Yeah, what you're going to do there is you're going to sell your gold and you're going to raise money right as a central bank and you're going to try to basically use that to backstop your economy. And so there is a seller of gold brand. That's what's happening. There is an actual seller of gold for the first time in a very long time. I wonder though, is a resolution trade if gold can be very convex? Because if there is a resolution, there is no need anymore for these central banks to sell gold.

After a while there will be a need for some people to buy metals because they fit pretty well into at least my macro scenario If there is a resolution of run it hot basically metals tend to treat very well And now so therefore I think gold upside is quite interesting But let me ask you something if I would tell you go into year-end. Yeah and buy a A digital or a cold spreading gold that pays out if you eat all time highs again So let's say 5500 something like that. What would you say the odds are? priced in the market. These are fun. We used to do these on the desk a lot and then try to guess. Don't check. No, no, I'm not checking. I'm just looking at a chart because I don't feel like it's it's useful to unless I look at a chart. So so is it a one touch or it has to stay above? Now, let's say a standard digital or a cold spread. We can also do one time. Let's do one time. One touch is easier. One touch. What's the one time just touches all time highs? What should be the odds? Like the market price, I think would be like 31% and my guess is like 50%. Yeah. The market is willing to give this to you at 24%. 24. Okay. It's not too bad, I would say. Yeah. I mean, I think that's cheap relative to what I would expect. Like not relative to the black souls, but relative to my actual You know ex ante odds of it actually happening. I think are higher than 24% for sure on something very interesting. Yeah, and we should spend five minutes on it So okay, you and I just basically are sitting on a micro desk. We're chatting about an option We think it might make sense to own and we checked the market's giving us 25% for a one touch So your subjective odds are 50% so that makes this thing very cheap, but you said compared to the black shows I don't think the 25% is that cheap. So walk me through. Why are you thinking like that? Does it make sense to compare it to what the actual pricing should be? Just, you know, go for it. Well, I think my point was more that I'm, I think if you trade a lot of options, you can sometimes kind of guess what the price is going to be. And then you can say like, you know, sometimes the market will price above or below terminal value and things like that. So more of like options pricing mechanics.

are defined by certain things like implied ball and it has to trade at the price described by those variables. But I feel like that's step one of evaluating a trade is like what's the market selling it for percentage wise and what do I think the real percentage is and why is it wider and why is there a convexity there or why is there not convexity? That's all I'm really talking about is assessing my ex ante odds against the market pricing. Because one thing that you can sometimes do is say, if you know the ball market, sometimes you can understand why the ball is cheap because corporates are always selling it and things like that. Or sometimes it's just because implied obviously tracks realized, and you have a view that realized has been low, but it's going to pick up because of XYZ.

you can have a view on vol and all that kind of stuff too, but I mean the very simple way if you're not like an options expert is just to simply look at what the market's pricing and make your own assessment of the odds and compare the two and I mean that in a very simple way that's what trading is most of the time right is looking for the widest possible spread between your odds or the market odds and I mean that's really all I'm doing. Yes, and I think that's the right way to assess this. Your odds are based on your implicit distribution of what the vol will be going forward, right? What the direction will be and what the vol will be in this case. And I think that's what distinguish Let's say a good positive expected value idea at least ex ante exposed You'll see the PLL and then you'll figure out but in the decision-making you can say look if I look at the chart if I imagine the path ahead for gold in terms of Delta and Realized ball when it turns up. This is a discussion. I was having as well with my fan colleagues When you buy one touch gold or gold call spreads on the way up Do you think that gold can exhibit spot up ball up?

Or do you think gold is a full institutionalized asset class that's more like spot up and ball down? That's very different because if it's spot up ball down it ends up being a proxy for a stock basically, right? I mean not the not the frenzy Wall Street bet stock but a proxy for the S&P 500, right? It goes up, but it doesn't go up and wall up. I mean, that's very rare and if you think in that in that sense then actually Holding a linear position here might make more sense Instead if you think look this thing can be spot up and ball at least constant spot up wall constant because there is a price Insensitive bid central banks will come in and bite again. They don't care what the price is so and there is no seller of Gold upside there is no natural seller of gold upside right then Actually buying a cost spread could make a lot of sense right because you realize the ball on the way up could be pretty strong Am I making any sense to you? Yeah, no that completely makes sense I mean the other thing too is like balls pretty low now because we haven't gone anywhere since the big liquidation and like Turkey and all the central banks sold and So the one hard thing obviously is if you do the call spread is if we just stick around for another four months That can be a very disappointing trade But you can then fund it by selling put spreads as well and then that way you you know, I like sometimes considering, okay, is the path. Like if some, there's some huge catalyst or, or I think it's just going to rip. Obviously that's a different trade. But in this case, it's like, I think it's going to go up, but it could easily just range trade for two more months. So I don't love the long ball trade. I would rather sell put spreads to buy call spreads or just be long spot or long futures or whatever. That, that's how I would think about it. And just one thing that I've been thinking about weirdly, I don't know why lately.

is if you just make a whole bunch of 58, 42 bets, I think that's one advantage of short-term trading is that you're gonna do hundreds or thousands of trades in a year. Whereas if you're making 65, 40, or 65, 40, sorry, geez, 65, 35 bets, but you only make five bets a year, then you have a lot more variance around the sample size thing. So I don't know, that's one thing that I didn't really realize. When I was started trading, I just gravitated a short-term horizon because I have an addictive personality. But in the long run, it actually does help with path dependence and things like that, is that if you have a larger sample size of trades and you have an edge, then you're going to realize the edge most years, whereas it's harder when you have a longer term view. Oh, you are now.

take in knife and you're sticking it into my ribs. So this is something I always buy. Investors have a long time horizon, so they don't care about variants, right? Yeah, but that's the key. Like your capital should be aligned with your time horizons. Otherwise, you have a problem to start with. Now, but something I need to say there, Brent, is that I thought the same, you know, like when you start in the H1 industry, you realize allocators unfortunately have a very short Patience and time horizon, despite what they tell you beforehand, they tend to have a very short time horizon. They're humans after all, right? They're allocators, they're humans. And then I thought, you know, I'm going to change my style. I'm going to start trading bi-weekly, whatever. So I have more shoot at the goalpost. The more time I shoot, you know, the more likely the variance is going to go down. Yet, Brent, that's only true if you can preserve your positive expected value at every time you shoot.

If you if you just go randomly that the math doesn't work because you're watering down your edge in order to increase your sample size and that doesn't work either. So what I did well, I need a transaction costs are way higher as well. I mean, I my transaction costs are super high. Yeah. So I just stick to my thing and I have like 50 teams a year and i'm very boring i set something up it stays in the book for six months and good luck you know like and and of course the downside of this is that your sample size is small which means your variance is higher actually the path dependency of your pnl is higher i should say so yeah if somebody looks at your pnl over three month horizon it's absolutely how can i say it's just a complete variance there is no signal in that pnl so it's a bit of a decision guys but don't Just be brand-only if you are brand-only. Okay. If you have an edge and you can trade 100 times 300 times a year, go ahead. If you have to trade 300 times a year just to feel like you are reducing your variance, please remember you should have positive expected value every time you trade. Right. And don't trade for the dopamine. The dopamine. Yes. The dopamine trade. Okay, guys. You know, you always ask for us to give you some trading stuff. So we talk about options, sample sizes. I think we've done our job here.

If you want to help us, you know what you should do? You should take this podcast and you should forward it to your best colleague, your most preferred colleague and say, listen to these two idiots talking about digital and black shows and implied well and stuff. Maybe they're interesting. Seriously, that's a way for us to, you know, grow and have the podcast listen out a little bit more out there. So we appreciate just forward it to a colleague. Alpha is very good at marketing. I am not. Excellent marketing guy. I wish I was as good as an investor as I am a marketing guy, but I'm learning. I'm learning. I'm learning. I'm learning. Anything else for this podcast? No, I think that's it. Thanks. Thanks everyone for listening. We always appreciate it. Thanks. It's almost summertime. I'm going to Southern Italy. It's going to be 35 degrees already. But I will commit to try and do podcast also from 35 degrees Celsius. That's because I love you very much and I'm going to be on the beach. So who am I complaining to? Ciao. Talk soon.

All right, ciao.